

scrutinising central sector and centrally sponsored schemes, some of which have legislative backing. The template for the Union Budget is simple enough: control revenue expenditure, maintain capital expenditure (especially on items on the Union government list in the Seventh Schedule) and ensure a medium-term path for fiscal consolidation. This also requires tapping non-tax sources of revenue, privatisation having flagged a

als, identity already exists through Aadhaar and there are direct benefit transfers to bank accounts. But, a mapping needs to be done between individual identity (Aadhaar, bank accounts, health schemes) and household identity (MGNREGA). The e-Shram portal registration is voluntary and cannot be mandatory. But the fact is that one needs a more complete mapping of identity for unorganised labour. There is a similar issue for enterprises too, where there

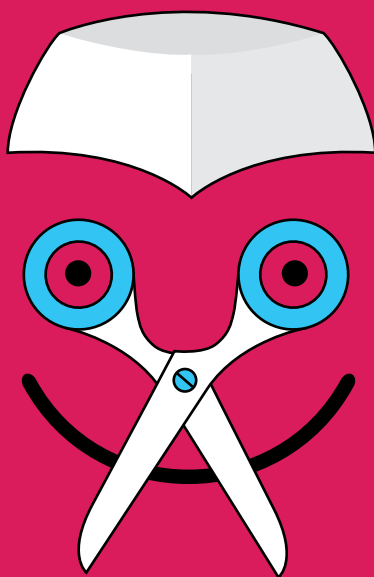
unification of labour laws under four codes, there is great variation in the extent to which states have implemented orders and state-level shops and establishments Acts often nullify the intention. These reforms also need to be incentivised.

Sixth, urbanisation is correlated with economic development. Very little of India's urbanisation will be greenfield and urbanisation in Census towns (which have transcended panchayats, but have not yet become municipalities), has often been chaotic. Indeed, it is debatable whether the traditional "urban" versus "rural" distinction makes any sense now, regardless of definition in the Census. Do we need two separate 73rd and 74th Amendments? Do we need to think about urban and rural development separately, with separate ministries and departments? It seems to me that the Union government should trigger this debate.

Seventh and finally, question marks have been raised about frequency and reliability of India's statistics. Some criticism is motivated and ill-informed. But there are also grains of truth in the criticism about time lags, questions asked in censuses and surveys, sampling design and outmoded methods for data collection. With India becoming a member of the UN Statistical Commission from January 2024, it is time to rehabilitate the country's statistical system, which used to be widely respected once upon a time.

As I said, 2024 is an opportune moment to take stock and "reform", with an eye on the template and trajectory for 2047. **BT**

*The author is Chairman, Economic Advisory Council to the Prime Minister. Views are personal*



52 |

ILLUSTRATION BY RAJ VERMA

bit. Taken together, such tax and expenditure reforms make the annual Budget-making process more transparent, removing the hype and annual changes.

Fourth, this is a question of encouraging formalisation. This means formalisation of labour markets and formalisation of enterprises. The two are related, but distinct. Both have been occurring and need to be encouraged further. Both involve ensuring proper identity. For individu-

als, identity already exists through Aadhaar and there are direct benefit transfers to bank accounts. But, a mapping needs to be done between individual identity (Aadhaar, bank accounts, health schemes) and household identity (MGNREGA). The e-Shram portal registration is voluntary and cannot be mandatory. But the fact is that one needs a more complete mapping of identity for unorganised labour. There is a similar issue for enterprises too, where there

is no clear handle on MSME. GST has encouraged the formalisation process and GSTN can become the identity for all enterprises. Fifth, labour is in the Concurrent List and land is in the State List. Efficient functioning of both is required for India to move to a higher growth trajectory. Having said this, recognising the Seventh Schedule, the Bhu-Aadhaar idea needs to be pushed, particularly since this is a Central Sector scheme. Despite